



RSM332: Capital Market Theory

Group 33

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ESSENTIAL UTILITIES INC. INVESTMENT PLAN

All figures except per share amounts are in millions USD, unless otherwise specified.

Recommendation

We recommend a strong buy for Essential Utilities Inc. stock. With the current share price at \$40.12 and our target price at \$52.93, we estimate an implied upside of 31.9%, a gap wide enough to exceed any reasonable margin of error and justify a buying position.

Company Information

Essential Utilities Inc., founded in 1886, stands as one of the largest publicly traded providers of water, wastewater, and natural-gas services in the United States. The company serves about 5.5 million customers across nine states through its core operational division: Regulated Water (Aqua) and Regulated Natural Gas (Peoples). The water division sees more stable growth, while the natural gas division experiences both a more accelerated growth and more volatility. It functions as a value-oriented firm with a stable share price reflected in its past 52-week historical share price. The company benefits from structural strengths, including high barriers to entry tied to infrastructure demands, state-regulated rates, steady essential-service demand, and the advantages that come with scale. Going forward, Essential Utilities targets substantial investments in system modernization and infrastructure reliability to meet long-term service expectations and evolving regulatory requirements.

Industry Overview

The U.S. utilities industry generally experiences stable demand, predictable cash flows, and minimal direct competition because utility infrastructure creates a natural monopoly. State regulators oversee utility pricing, service quality, and the revenues utilities are permitted to earn by setting the company’s authorized base rates. Although the industry is mature, it is now undergoing major shifts as companies deal with aging infrastructure, rising operating costs, and growing expectations for environmental responsibility. Investors, customers, and regulators are placing increasing pressure on utilities to strengthen ESG performance, reduce emissions, and improve environmental transparency. These pressures are pushing utilities to invest heavily in system modernization, decarbonization efforts, and advanced digital technologies designed to enhance resilience and lower emissions. Competition plays out across regional markets, where major investor-owned water utilities like American Water Works and H2O America face similar regulatory and sustainability demands. Overall, the sector remains low-risk and stable, but companies that move faster on modernization and sustainability are better positioned to outperform their peers over time.

Thesis I: Sustainable Infrastructure Leadership and Regulatory Alignment

Essential Utilities’ \$7.8 billion capital investment plan for 2025–2029, which includes more than 300 PFAS-remediation projects, prioritizes infrastructure and IT upgrades to reduce methane emissions and meet increasingly stringent EPA standards. The investment positions the firm to benefit from emerging regulatory and policy shifts that increasingly reward environmental compliance. These benefits are already reflected in the higher approved rates and surcharges granted to Essential Utilities by state regulators, allowing for the 2025 revenue increase. These sustainability investments strengthen the company’s long-term growth trajectory through accelerating revenue growth from regulated rate base increases, reducing regulatory risk by reinforcing regulator trust, and additional benefits earned from sustainability policies and incentives.

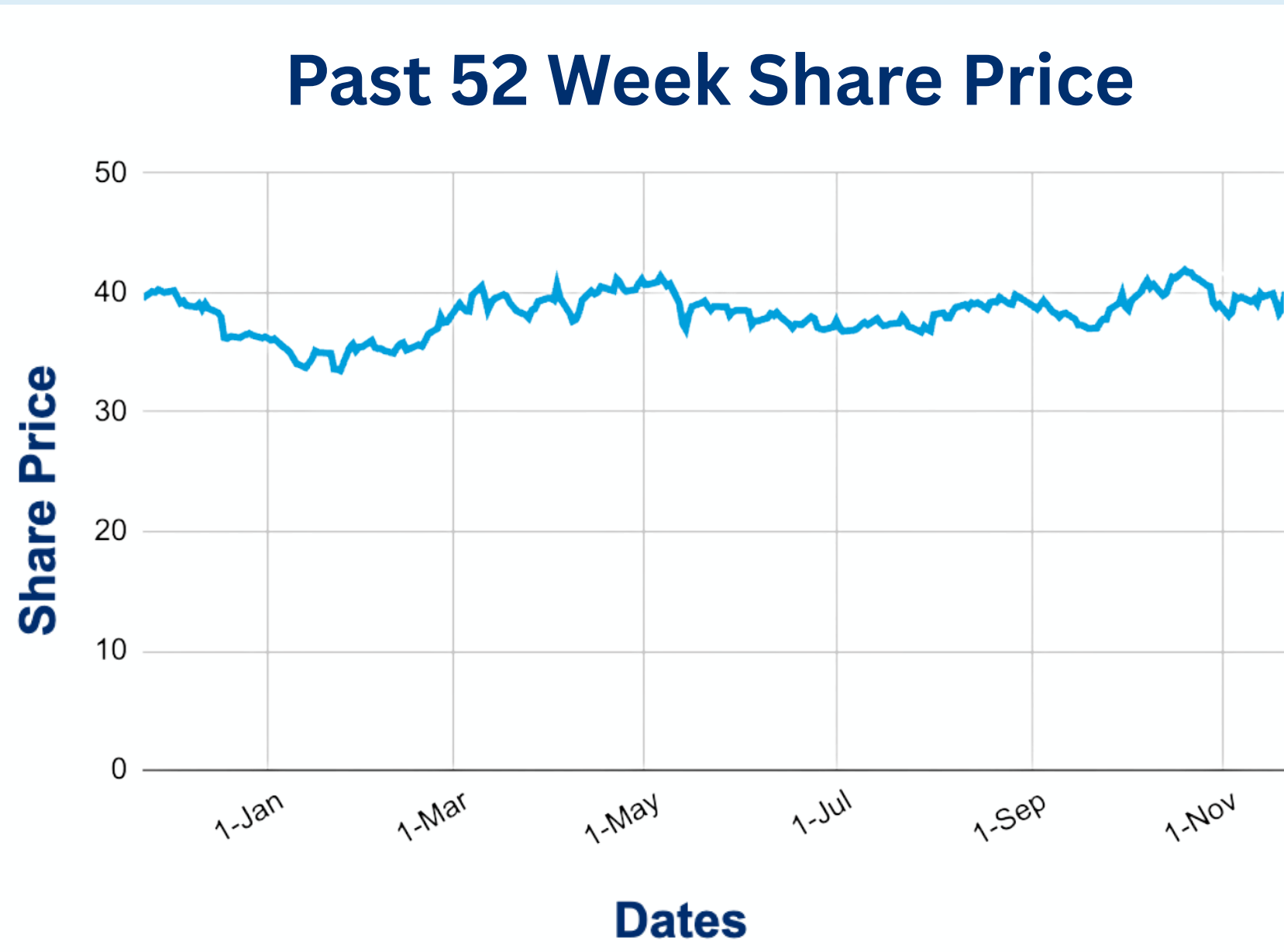
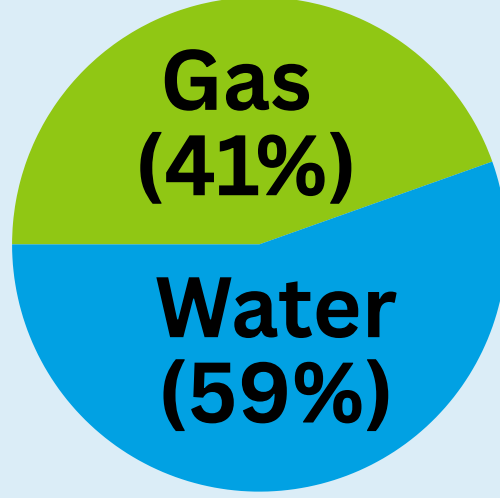
Thesis II: Digital Modernization on Operating Efficiency

Essential Utilities demonstrates a notably faster adoption of the latest digital system technologies. The company implemented SAP S/4HANA and Fiori-based applications earlier than most regulated utilities in 2019, allowing it to unify data and streamlining operations across customers. Furthermore, its partnership with Infosys on advanced data-management technology in 2020, combined with the recent \$26 million investment in a major AI data center in Western Pennsylvania, establishes the company as an industry leader in innovation and AI-driven transformation. These strategic technology partnerships enhance long-term operational efficiency and reduce operating and maintenance expenditures, enabling sustained and higher-than-expected margin improvement as the company benefits from accelerating innovations across the broader digital technology landscape.

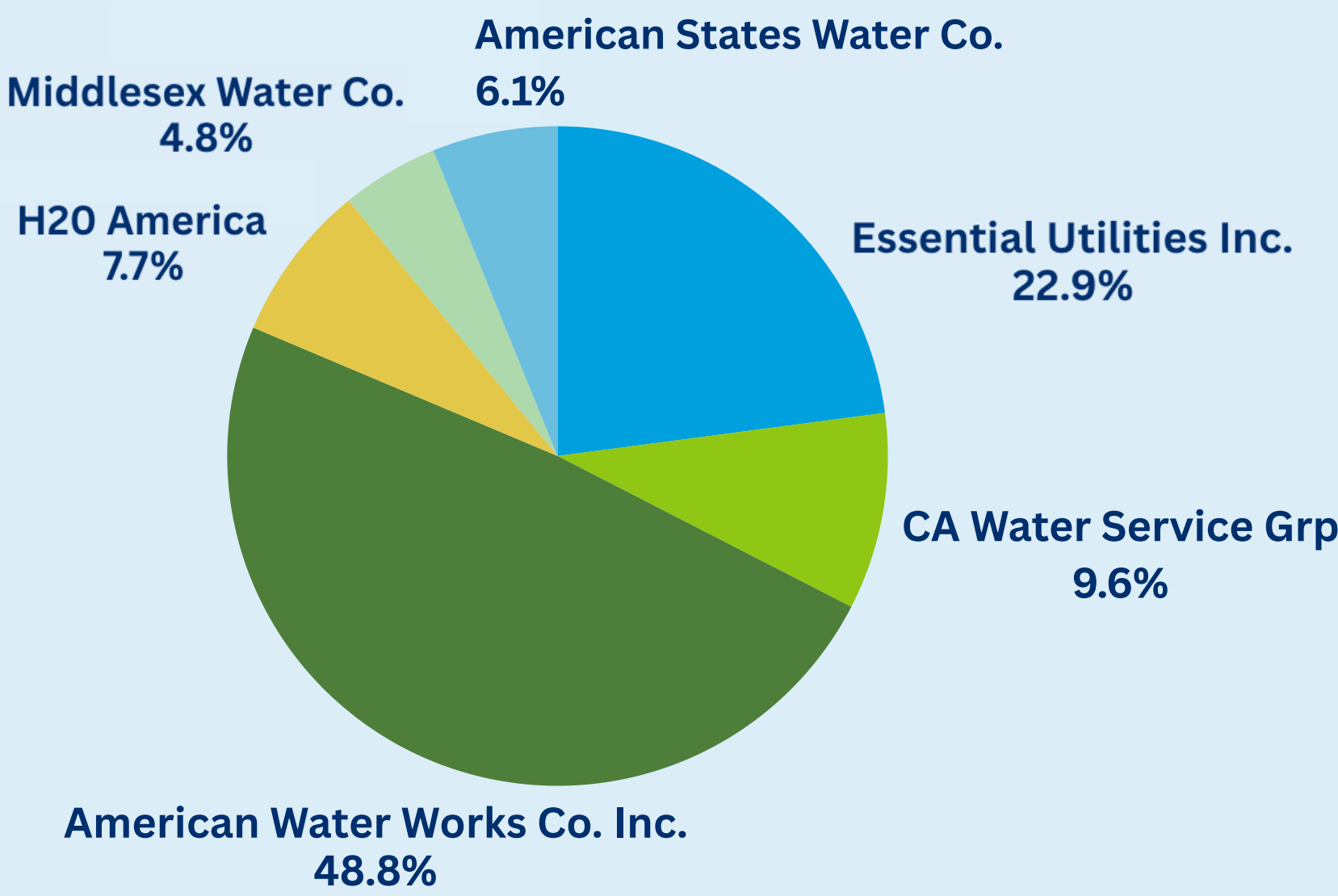
Share Price	
Nov 22, 2025	\$ 40.12
52 Week High	41.93

Key Statistics	
Market Cap	\$10.94 B
Total Enterprise Value	\$18.9 B
LTM Revenue (Q3 2025)	\$2.38 B
LTM EBITDA (Q3 2025)	\$1.32 B
LTM EPS (Q3 2025)	\$2.36

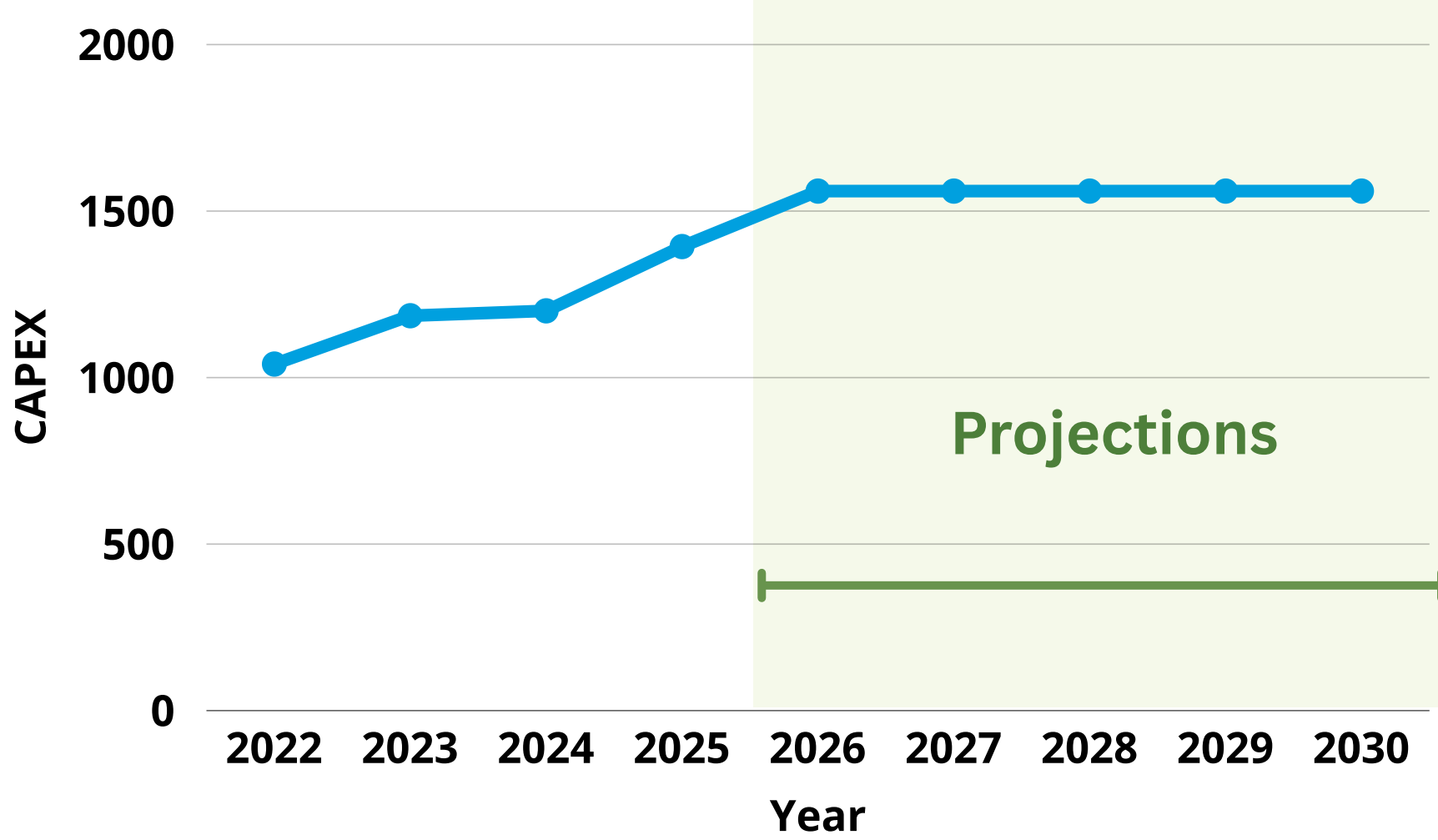
Revenue Breakdown



Revenue Market Share Among Comparables



CAPEX Investment in Infrastructure



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Valuation

Discounted cash flow (DCF) analysis projects free cash flow to equity (FCFE) for the next five years, from 2026 through 2030, and assumes required return on equity of 7.58%. We calculated the terminal value using the Gordon Growth model with an assumed terminal growth rate of 2.0% in line with GDP growth, and the Multiples model, where we applied an exit multiple of 14.5x based on comparables analysis of equity to EBITDA. Averaging the discounted terminal values from the Gordon Growth and Exit Multiples models yields an implied base-case share price of \$52.93. This valuation implies a 31.9% upside relative to the current share price of \$40.12 as of November 22, 2025.

All Annual Years are Q3/Q4 of the previous year and Q1/Q2 of the respective year										
Selected Financials - DCF	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	1,803.20	2,045.60	2,303.20	1,937.10	2,338.20	2,552.90	2,751.10	2,920.50	3,100.30	3,327.10
EBITDA	888.6	930.6	1,013.70	1,045.50	1,292.10	1,360.10	1,484.20	1,627.50	1,800.50	1,933.50
EBIT	600.6	622.3	680.5	690.9	900.1	956.3	1,048.20	1,158.60	1,291.50	1,398.00
Unlevered Free Cash Flow	-53.9	-116.4	92.6	-203.4	-179.5	-67.2	-15.6	143.9	268.8	407.9
Free Cash Flow to Equity	-259.9	71.1	462	-217.7	72.8	-112.7	230.6	449.4	683.5	544.9
Discount Factor						0.93	0.86	0.8	0.75	0.69
Discounted FCFE						-104.8	199.3	360.9	510.4	378.2

Implied Share Price	
PV of Projected	1,344.00
PV of Terminal	13,378.00
(+) Cash and Cash Eqv	18.8
Implied Equity Value	14,740.70
Shares Outstanding (Fully Diluted)	278.5
Implied Share Price	52.93
Current Share Price	39.67
Implied Upside	33.40%

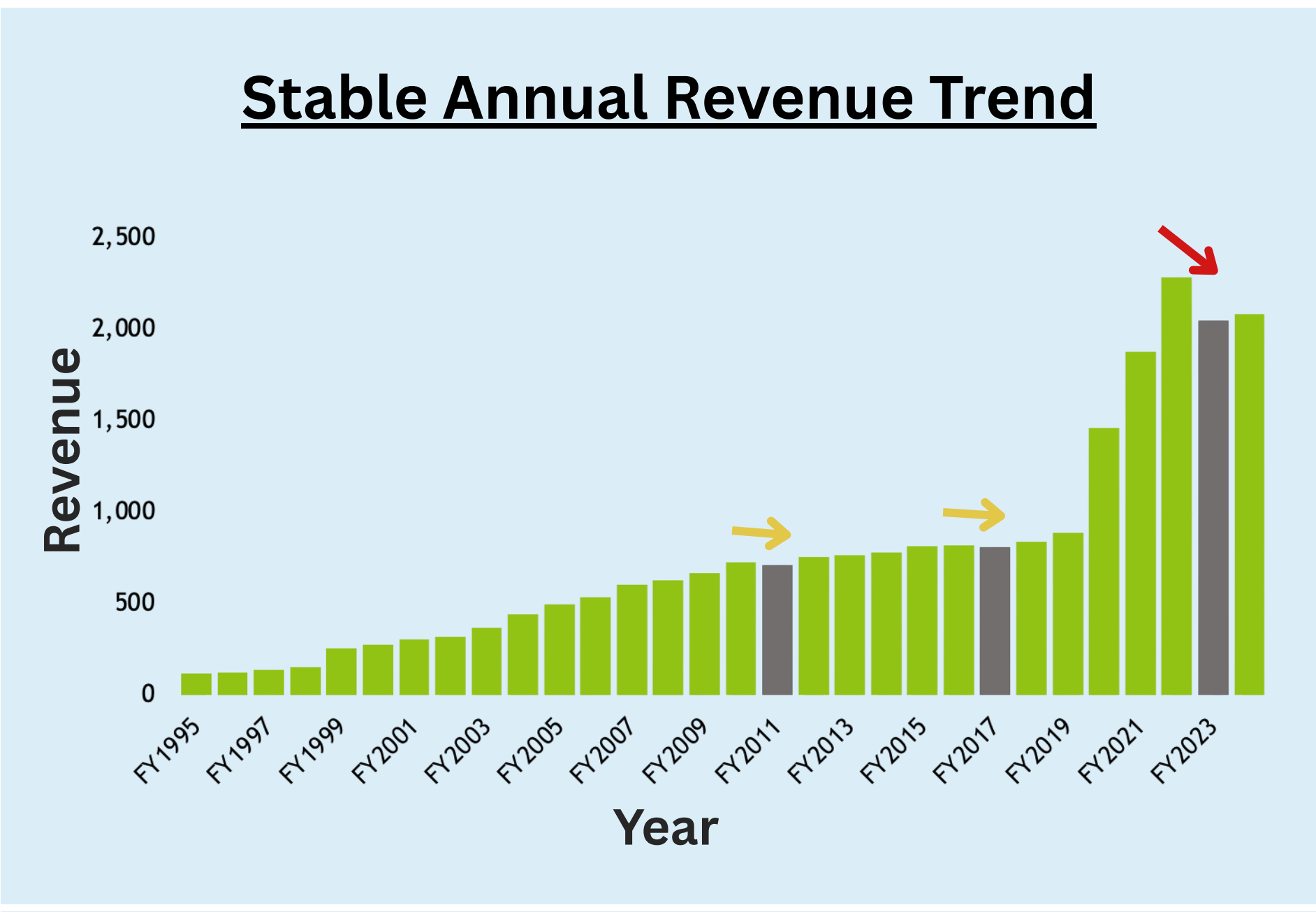
Essential Utilities recently announced a merger with the larger company American Water Works, planned for 2027 (as of Oct. 27), and possible merger outcomes are incorporated into the bull and bear case analyses. In the bull case, the model simulates a highly successful merger driven by increased operating efficiency and greater market reach and distribution. In the bear case, the model assumes revenue declines driven by additional coordination costs, delayed business activities, and an unprofitable year in the natural gas segment (similar to that of 2023). We therefore adjust the revenue growth rate by 5 percentage points above and below the base case, respectively, for the bull and bear cases. Furthermore, the comparable analysis, which uses peers in the utilities industry such as H2O America and Middlesex Water Company, yields a median implied share price of \$51.80 based on the P/E ratio.

Company	Ticker	Market Cap	Share Price	Enterprise Value	Revenue	Net Income	P/E
American Water Works Co, Inc.	NYSE:AWK	25,377.80	90.80	40,509.80	5,070.00	1,112.00	22.8x
CA Water Service Group	NYSE:CWT	2,827.10	47.43	4,274.90	1,002.40	136.40	20.7x
H2O America	NasdaqGS:HTO	6,478.90	16.29	6,918.40	3,594.60	448.00	14.5x
Middlesex Water Co.	NasdaqGS:MSEX	1,045.10	58.06	1,460.60	195.80	43.40	24.1x
American States Water Co.	NYSE:AWR	2,797.70	72.67	3,727.90	616.00	124.80	22.4x
Essential Utilities Inc.	NYSE:WRTG	10,949.9	39.2	18,727.9	2,338.2	645.8	17.0x

Essential Utilities Inc. P/E Multiple	
Average Comparables P/E	22.4x
Net Income	\$645.8
Implied Valuation	\$14,477.20
Shares Outstanding	279.50
Implied Share Price	\$51.8

Risks & Migitations

A major consideration for Essential Utilities is its merger with American Water Works, which introduces execution risks such as operational differences and unexpected merger costs. Through analysis of the merger share-split announcement, we assess the probability of these risks as low because both companies operate in the same industry, function as natural monopolies, and mainly operate in different geological locations. Another key consideration is the systematic risk in the gas industry associated with fluctuating prices. In 2023–2024, the company reported a revenue decline of –15.9% due to lower gas costs and unfavourable weather that reduced heating demand; this effect is reflected in our DCF. As part of the natural commodities sector, the company also faces the risk of penalties or loss of government funding if it fails to comply with ESG regulations.



Essential Utilities mitigates this risk by staying ahead of regulatory requirements and preparing thoroughly for the merger. Given these risks, if the merger does not take place and price or weather conditions remain normal, we would not change our recommendation because the analysis would revert to our base-case assumptions, which still produce an implied share price above the current price and therefore support a buy recommendation.

Conclusion

With the current share price at \$40.12 and the target price at \$52.93, our analysis supports a strong buy recommendation and reflects an estimated undervaluation of roughly 31.9%. This conclusion comes from two core factors: Essential is investing \$7.8 billion to upgrade and modernize its water and natural gas infrastructure, which strengthens long-term asset quality and regulatory alignment; and Essential is rapidly adopting advanced digital and data-management systems that improve efficiency and reduce future operating costs. Together, these drivers form the basis of our investment thesis and justify our view that Essential Utilities Inc. is undervalued at its current market price.

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